

comprehend? The fact that many technology businesses grew at unusually high rates, and did so over long periods, nurtured a reasonable premise that these businesses were uncommonly valuable. Under the influence of persistently bullish trends, this premise was exchanged, at times unconsciously, for one that was far less reasonable—that high growth rates were a fixed fact of the industry, and that leading technology stocks were worthy investments at any price. This resembled the philosophy behind the “one-decision” stocks of the late 1960s and early 1970s (also known as the Nifty Fifty)—blue chips such as ITT, Avon, and Polaroid. These were supposedly “one decision” stocks that could be bought and held forever. But peak to trough, the Nifty Fifty would plunge 80%.

While the one-decision credo was less explicit in the digital era, its application was similar, with consequent inflation of share prices *even relative to digital’s growing economic importance*. Over the early part of the century, the digital share of America’s GDP rose by a third, to approximately 10%.⁴⁰ While that was impressive, it was outpaced by the action in the stock market, where technology’s share of the S&P 500 was 28%.⁴¹ A Graham-and-Dodd investor would hardly shirk technology, but he or she would be cognizant that prices will not trade without some relation to value, or not forever. Over the first eight months of 2022, the tech-heavy Nasdaq lost a quarter of its value. Many digital icons fell by more than half.

The market rout of 2022 was illustrative because it stemmed not from a shift in the speculative winds but rather from verities in the underlying economy. Technology had been treated as exceptional: it

⁴⁰ “The Era of Big-Tech Exceptionalism May Be Over,” *The Economist*, July 27, 2022; see also <https://www.statista.com/statistics/1239480/united-states-leading-states-by-tech-contribution-to-gross-product/#:~:text=In%202021%2C%20the%20United%20States,GDP%20has%20remained%20relatively%20consistent>.

⁴¹ As of March 30, 2022.